

on the impact of the expansion of social wage on the accumulation process. As has been noted earlier, Gough concludes on invalid theoretical grounds that there is no reason to assume that the growth of the welfare state must inevitably inhibit accumulation by reducing the quantity of surplus-value in the capitalist sector. As opposed to this, Gintis and Bowles claim, on what I shall show to be erroneous empirical grounds, that "the expansion of . . . the citizen wage - that part of a person's consumption supplied by the state by virtue of his citizenship rather than directly acquired by the sale of labor-power - has led to a redistribution of the social product away from capital" (Gintis and Bowles, 1982A, p. 53).⁵ Gintis and Bowles substantiate their claim by presenting Table 2 as a direct evidence of the fact that taxes paid by workers only amount to a small fraction of what workers receive in social welfare expenditures. A cursory look at the finding of Gintis and Bowles indicates that social welfare expenditures have been increasing as a percentage both of tax payments since 1959 and of average take-home pay since 1948. The former has changed from 278 percent in 1959 to 710 percent in 1977, while the latter has increased from 21 percent in 1948 to 76 percent in 1977. This represents the basis of their citizen-wage-based theory of the capitalist state. We must, therefore, take a close look at their empirical procedures and the data

they use.

The procedure used admits underlying assumptions involves three stages:

Stage I: The gross average weekly earnings of the average production and non-supervisory worker in the non-farm sectors are considered as representative of that of the average employed worker (column 1 in Table 2).

Stage II: Direct taxes (column 2) are calculated as the difference between gross average weekly earnings (column 1) and the spendable average weekly earnings of a worker with three dependents (column 3). Estimated weekly direct taxes have changed dramatically during the post-war era, from \$1 to \$10 with an average annual rate of growth of 7.9 percent.

Stage III: As a last step Gintis and Bowles utilize the data from Statistical Abstract of the U.S. to estimate weekly social welfare expenditures. The source gives the per capitaseries in current dollars; and the figures listed in column 4 are obtained after deflating such current dollar data by the CPI and multiplying these by four to render them comparable to the spendable take-home pay series (Gintis and Bowles, 1982A, p. 73). The social welfare expenditures covered in that particular series are social security, public assistance, health, educational, vocational rehabilitation, housing, veterans programs, child nutrition. As can be seen in

Table II: ⁶Sources of Workers' Consumption: The Wage and the Citizen
 Wage, 1948-1977, in Constant (1967) Dollars

Year	(1) Gross Average Weekly Earnings	(2) Estimated Direct Taxes on Earnings	(3) Spendable Average Weekly Earnings	(4) Estimated Weekly Social Welfare Expenditures	Transfer Ratio 4/2	4/3
1948	68	1	67	14	14	0.21
1950	74	2	72	16	8	0.22
1955	84	5	79	19	3.8	0.24
1959	96	9	82	25	2.78	0.30
1965	101	10	91	32	3.2	0.35
1972	109	12	97	61	5.08	0.63
1977	104	10	94	71	7.1	0.76
Average Annual Rate of Growth, 1948-1977	1.5%	7.9%	1.2%	5.6%		
Increase, 1948-1977	36	9	26	57		

Notes: a. Gross average weekly earnings of production and non-supervisory workers, in 1967 dollars.
 b. Estimated weekly direct taxation (including employee contributions to social insurance) for production on non-supervisory workers, in 1967 dollars.
 c. Spendable average weekly earnings of production or non-supervisory workers, in 1967 dollars, for worker with three dependents.
 d. Estimated weekly social welfare expenditures under public programs per family of 4.

Table 2, column 4, the so-called citizen wage has also increased sharply: from \$14 in 1948 to \$71 in 1977.

However, a closer look at the data and calculations reveals a number of shortcomings and inconsistencies in Gintis and Bowles' empirical analysis. This clearly casts doubts on the validity of their theoretical arguments. Let us first look at the validity of implicit and explicit assumptions they make regarding the estimation of taxes paid by workers. Since the "spendable average weekly earnings: apply to a worker with three dependents, this implicitly assumes that the average employed worker has three dependents. The arbitrariness of such an assumption and the inconsistency it creates is glaringly highlighted in Table 3. The only "consistency" the data present is that the estimated number of people in the U.S. based on Gintis and Bowles' assumption of three dependents per employed worker is always larger than the total U.S. population! Moreover, the magnitude of the overestimation increases over the thirty years period, from 54.9 percent in 1948 to 66.9 percent in 1977.

In order to correct this over-exaggeration it is necessary first to estimate the average size of the households and then the average size of the employed worker's family.⁷ The figures thus obtained allow us to correct the downward bias which exists in Gintis and Bowles' estimation of direct taxes paid by workers.

Table III: Population and Employment

Year	(1) Total Number of Employed Workers	Total Population	Total Real Population
1948	58.3	233.2	147.2
1950	58.9	235.6	152.3
1955	62.2	248.8	165.9
1959	65.8	263.2	177.8
1965	71.1	284.4	194.3
1972	81.7	326.8	208.8
1977	90.5	362	216.9

1. Statistical Abstract of the U.S., 1980 (SA-80), No 652, p. 394, except 1948 which is from Historical Statistics, Series D11-25.
2. These figures are calculated based on their assumption that an average worker has three dependents.
3. SA-80, No. 2, p. 6.

This correction is given in Table 4. The revised figures of gross earnings and hence the corrected figures for direct taxes are presented in Table 5.

A comparison of columns 8 and 9 in Table 5 clearly shows the downward bias introduced by Gintis and Bowles' assumption regarding the number of dependents and workers per household. In other words, this results from their overestimate of the number of dependents per worker and their simultaneous underestimate of the number of workers (and income) per households. Throughout 1955-1977 average direct taxes per household are higher than Gintis and Bowles' estimations. Even these estimates presented in Column 8 in Table 5 underestimate the magnitude of the taxes paid by workers as BLS spendable earnings data are calculated by deducting only Federal income and social security taxes from gross earnings. All other taxes at the level of State and Local governments are left out (Schwab, 1971, p. 3).

Obviously, the overestimation of the number of dependents and the underestimation of the number of workers per household lead Gintis and Bowles also to overestimating social welfare expenditures per household. Estimated social welfare expenditures are calculated by multiplying per capita social welfare expenditure by the number of persons in an average household (i.e. four, one worker and three dependents).

Table IV

Year	(1) Number of Households	(2) Average Size of Households	(3) Number of Employed Workers	(4) Number of Employed Workers per Household (3)/(1)	(5) Average Number of Dependents per Household (2)-(4)	(6) Average Number of Dependents per Worker (5)/(4)
1955	47.8	3.47	62.2	1.35	2.12	1.57
1959	51.3	3.47	65.8	1.28	2.19	1.71
1965	57.3	3.39	71.1	1.24	2.15	1.73
1972	66.7	3.13	81.7	1.22	1.91	1.57
1977	74.1	2.93	90.5	1.22	1.71	1.40

Notes: 1. Since the empirical findings in Chapter IV cover only the period of 1952-1980, 1948 and 1950 are excluded. Table 4 through Table 8.
2. SA-80 No. 64, p. 47.
3. Historical Statistics, series A 335-349.
4. SA-78, No. 62, p. 46.
5. These figures are obtained by dividing the total U.S. population by the number of households.

Table v

Year	(1) Earnings Per Worker	(2) Average Number of Dependents per worker	(3) Average Spendable Earnings	(4) Average Direct Taxes (1)-(3)	(5) Average Number of Workers Per Household	(6) Average House- hold's Income (1)x(5)	(7) Average Spendable Earnings per Household (3)x(5)
1955	84	1.57	74.79	9.21	1.35	113.4	100.97
1959	96	1.71	81.22	14.78	1.28	122.88	103.96
1965	101	1.73	87.99	13.01	1.24	125.24	109.11
1972	109	1.57	93.13	15.87	1.22	132.98	113.62
1977	104	1.40	89.47	14.53	1.22	126.88	109.15

- Notes: 1. All earnings and direct taxes are weekly and in 1967 dollars.
 2. These are per worker with certain number of dependents figures - number of dependents are given on column 2. Such earnings with certain number of dependents are estimated by linearly interpolating between the spendable earnings of a worker with three dependents (Table 2, column 3) and that of a worker with no dependent (SA-71, No. 352, p. 225 for the years 1955 and 1960 - instead of 1959 - same source 1980 edition, No. 700, p. 422 for the years 1965 and 1977; and 1973 edition, No. 378, p. 241 for 1972).
 3. Table 4, column 4.

Table V (continued)

Year	(8) Average Direct Taxes per Household (6)-(7)	(9) Average Direct Taxes as a Percentage of Average Household's Income (8)/(6)	(10) Gintis & Bowles Average Direct Taxes per Household	(11) Gintis & Bowles Average Direct Taxes as a Percentage of Average Household's (10)/(6)
1955	12.43	0.11	5	0.04
1959	18.92	0.15	9	0.07
1965	16.13	0.13	10	0.08
1972	19.36	0.15	12	0.09
1977	17.73	0.14	10	0.08

Notes: 4. Table 2, column 2.

The new estimates of social welfare expenditure per worker and his/her dependents based on the corrected figures are presented in Table 6.

Even though new Gintis and Bowles' net expenditures ("citizen wage" figures) as I have corrected them are systematically lower than their own original estimations, they are still biased upward, because, in addition to leaving State and Local taxes out, they exclude employer's contributions to social security. On the expenditure side, Gintis and Bowles also include veteran payments which can be considered a cost of warfare rather than welfare.

As a final correction, I have added State and Local taxes paid by workers to the previous direct tax figures. In order to obtain these new tax estimates, I first calculated a ratio of total taxes paid by workers (excluding employers' contributions to social security) based on my estimates in the previous chapter total wage and salary income. This ratio is naturally higher than the direct tax ratio yielded Gintis and Bowles' procedure, because it does account for State and Local taxes. Therefore, Gintis and Bowles' direct tax figures must be adjusted by using these new tax ratios which in turn give us new net expenditure figures. These corrections are summarized in Table 7 below.

Lastly, utilizing the transfer ratios in Table 2 and constructing new corrected transfer ratios by